

When our market participants are largely *investors*, focused on the economics of business, the underlying power of our corporations to earn a solid return on the capital invested by their owners is what drives the stock market, and volatility is low. But when our markets are driven, as they are today, largely by *speculators*, by expectations, and by hope, greed, and fear, the inevitably counterproductive swings in the emotions of market participants—from the ebullience of optimism to the blackness of pessimism—produce high volatility, and the resultant turbulence that we are now witnessing became almost inevitable.

Is this speculation by mutual fund managers and by other market participants healthy for investors? For our financial markets? For our society? Of course not. In the very long run, all of the returns earned by stocks are created not by *speculation* but by *investment*—the productive power of the capital invested in our business enterprises. History tells us, for example, that from 1900 through 2007 the calculated annual total return on stocks averaged 9.5 percent, composed entirely of *investment* return, roughly 4.5 percent from the average dividend yield and 5.0 percent from earnings growth. (Dare I remind you that this return reflects neither the croupier costs of investing discussed in the previous chapter nor the erosion of inflation?)

What I call the *speculative* return—the annualized impact of any increase or decrease in the price-earnings (P/E) ratio or P/E multiple—happened to be zero during this period, with investors paying a little over \$15 for each dollar of earnings ($P/E = 15$) at the beginning of the period, and about the same at the end. Of course, changes in the P/E can take place over long periods; but only rarely does the *long-term* speculative return add more than 0.5 percent to annual investment return, or subtract more than 0.5 percent from it.

The message is clear: In the long run, stock returns have depended almost entirely on the *reality* of the relatively predictable investment returns earned by *business*. The totally unpredictable *perceptions* of market participants, reflected in momentary stock prices and in the changing multiples that drive speculative returns, essentially have counted for nothing. It is *economics* that controls